AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X EXAMINATION

APRIL/ MAY 2018

Principles of Accounting Paper II

Time: 2 hours 25 minutes Marks: 50

AKEB May 2018
Teacher Learning Only

INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are SEVEN questions. Answer ALL questions.

3. When answering the questions:

   Read each question carefully.
   Use a black pointer to write your answers. DO NOT write your answers in pencil.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

6. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

Q.1. (Total 6 Marks)

Imtiaz is the owner of an ice cream parlour. He charges 10% depreciation on machine using straight line method. The details regarding machine on January 01, 2017 are as under.

Particulars	Amount (Rs)
Old machine (cost)	650,000
Allowance (provision) for depreciation on machine	390,000

On December 31, 2017 after closing the accounting books, Imtiaz is planning to dispose-off the old machine and buy a new machine in order to meet the increased demand. The cost of new machine on December 31, 2017 is Rs 900,000 and the trade in allowance of the old machine is agreed to be Rs 180,000.

a. Calculate the amount of gain/ loss on disposal of old machine on December 31, 2017. (3 Marks)

b. Calculate the amount of cash to be paid on the purchase of new machine. (1 Mark)

c. Prepare general entry to record the disposal of old machine on December 31, 2017. (2 Marks)

Date	Particulars	P.R.	Debit	Credit

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Q.2. (Total 6 Marks)

The following are the details of the expenditures incurred during the plant extension by Alpha & Co.

Particular	Amount (Rs)
Purchased plant machinery	1,000,000
Insurance for the machine	1,200,000
Transportation in	100,000
Transit insurance	65,000
Wages of machine operator	25,000
Custom duty	20,000
Labour charges for loading and unloading	15,000
Repair expense	15,000
Repair and maintenance	15,000
Machine lubrication	10,000

Compute the total capital **OR** revenue expenditures.

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Q.3. (Total 10 Marks)

Following is the trial balance of Hakimi Enterprises as on December 31, 2014.

Particulars	Debit	Credit
Cash	15,000	
Merchandise inventory (opening stock)	10,500	
Trade receivables (accounts receivable)	64,500	
Pre-paid insurance	36,000	
Office equipment	12,000	
Allowance (provision) for depreciation (equipment)		1,500
Trade payables (accounts payable)		45,000
Capital (01-01-2014)		88,800
Drawing	12,000	
Sales revenue		160,000
Sales return	8,000	
Purchases	90,000	
Purchases return		5,000
Transportation in	6,600	
Administrative expense	10,600	
Salaries expense	24,000	
Rent expense	9,500	
Interest payable		4,000
Pre-paid advertisement	4,500	
Bad debts expense	3,500	
Allowance (provision) for doubtful (bad) debts		2,400
Total	**306,700**	**306,700**

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Data for Adjustment as on December 31, 2014:

- Merchandise inventory at year end was Rs 12,500.
- Prepaid advertisement expired by Rs 1,500.
- Salaries payable are at Rs 12,000.

Prepare a classified income statement for Hakimi Enterprises for the year ended December 31, 2014.

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Q.4. (Total 8 Marks)

Rafiq is a small trader. He does not maintain proper books of accounts. Following balances were provided by Rafiq on March 31, 2018.

Particulars	April 01, 2017	March 31, 2018
Trade payables (accounts payable)	140,000	185,000
Capital	760,000	to be calculated

Details related to capital and trade payables (accounts payable) of Rafiq are as under.

Particulars	Amounts (Rs)
Drawings during the year	240,000
Cash purchases during the year	112,000
Paid to suppliers	720,000
Purchase return and allowance	23,000
Net income for the year	400,000
Additional investment	60,000
Discount received from suppliers	12,000

a. Calculate Rafiq's capital as on March 31, 2018 by preparing the capital account. (4 Marks)

Capital		
	01.04.2017 balance b/d	760,000

b. Calculate the total gross purchases of Rafiq for the year ended March 31, 2018. (4 Marks)

Trade payables (accounts payable)	

Space for calculation: _____

_____

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Q.5. (Total 5 Marks)

The following errors have been found in the books of Al-Hameed Traders:

i. Merchandise returned by Karim Brothers of Rs 7,000 was entered in sales return and allowances account, but the entry was not posted to the personal account.

ii. The total amount of purchases journal was under-casted by Rs 3,400.

iii. The discount column of the cash book, representing discounts allowed to customers was over added by Rs 736.

iv. A balance of Rs 4,300, owed by Karim Brothers, had been omitted from the schedule of trade receivables (accounts receivable).

v. Sales of Rs 395 to Mr Mirza had been correctly entered in sales book, but were posted as Rs 359 in personal account of Mr Mirza.

Prepare suspense account and post above entries to suspense account.

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Q.6. (Total 5 Marks)

The financial statements prepared by Basheer for the year ended December 31, 2017 showed the net profit of Rs 140,350. Upon review, the following errors were discovered.

i. Goods purchased on account from Ameer Limited for Rs 13,700 had not been entered in the books of accounts.

ii. Goods sold to Sameer Sons for Rs 7,300 had been correctly posted to sales account but had been entered into Samir Traders account.

iii. A repair of Rs 38,000 for motor vehicle had been posted to motor vehicles account.

iv. A discount received from Latif Enterprises of Rs 1,900 had been entered in the discount allowed column in the cash book and Latif Enterprises account had been credited.

v. Credit sales of Rs 7,800 had been posted in the journals as Rs 8,700.

Identify the type of accounting errors mentioned in each of the given scenarios.

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Q.7. (Total 10 Marks)

The following balances have been taken from the books of Aneesa Foundation, a charitable institution:

Particulars	January 01, 2017	December 31, 2017
Subscription	2,300 advance 1,650 arrears	To be determined
Bank balance	7,900	To be determined

i. **Receipts during the year ended December 31, 2017:**

Subscription	- for the year ended December 31, 2016	Rs 1,650
	- for the year ended December 31, 2017	Rs 14,500
	- for the year ended December 31, 2018	Rs 1,200
Amount received from sale of old machine		Rs 20,000
Donation received		Rs 7,000

ii. **Payments during the year ended December 31, 2017:**

Rent	Rs 4,200
Insurance	Rs 2,430
Sundry expense	Rs 3,600

All receipts and payments were made through the bank account.

a. Prepare subscription account for the year ended December 31, 2017. (5 Marks)

Subscription	

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b. Prepare receipt and payment account for the year ended December 31, 2017. (5 Marks)

Receipt and Payment	

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END OF PAPER

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